

HDFC Bank

Cross-entity by design — selling a sister insurer's product inside a bank journey

One continuous journey for the customer. Two regulated entities, two supervisors and two systems of record underneath it. The consent model, not the product, is what decides whether a journey like this launches or is withdrawn.

2	2	2	6	1	0
regulated entities, one flow	supervisors to satisfy	consents, deliberately separated	use cases delivered	system of record per artefact	blanket consents

JOURNEY SCOPE · GROUP HEALTH INSURANCE THROUGH A BANK CHANNEL

Eligibility and screening · product and cover selection · cross-entity consent · member enrolment · premium and issuance · post-issue servicing view

Aditya Singh · Programme and delivery ownership, digital journey portfolio · 2024

The customer experiences one journey; the data must never behave as though it is one entity — and a single blanket consent is the fastest way to fail that test

Situation

A bank selling a group health insurance product underwritten by a sister company within the same group. The customer sees one flow inside the bank's channel: eligibility, cover selection, enrolment, payment, policy.

Behind it are two separately regulated entities with different supervisors, different obligations and different systems of record.

Complication

The commercially attractive design is the seamless one — a single consent at the start, data flowing freely between entities, one apparent system.

That design is faster to build, tests better in user research, and does not survive the first supervisory examination from either side. Group structure does not make two entities one entity in data terms, and a consent that does not distinguish the two purposes cannot evidence either.

The design

Split the consent explicitly: cross-entity data sharing is one purpose, the insurance contract is another, and they are captured, evidenced and revocable separately.

Hand over data at field level with the purpose recorded per attribute. Draw the system-of-record boundary once and keep it — the insurer owns the policy, the bank owns a servicing view, and neither pretends otherwise.

THE NUMBERS THAT MATTER

2

consents, separately evidenced

1

purpose recorded per field

1

system of record per artefact

0

underwriting logic in the bank

6

use cases delivered

4

failure modes designed out

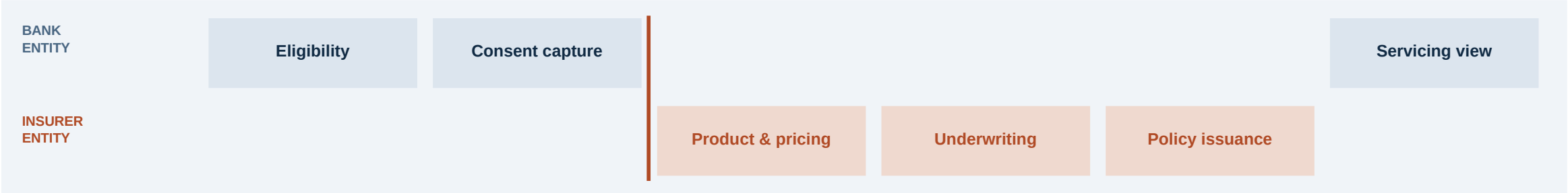
Why this pattern is worth generalising: any product sold by one regulated entity through another's channel has this shape — bancassurance, group wealth, embedded lending, partner distribution. The commercial value is real and it is exactly where the value leaks, because the seam is a consent and data-ownership problem that looks like a user-experience problem.

The journey and its scope come from the delivery record; the consent architecture and failure-mode analysis are design work, not legal advice

DELIVERED SCOPE Programme context The journey, its six use cases and the entity structure, as delivered during the 2024 engagement. - Group health product, bank channel - Sister insurer within the group - Six use cases end to end - Existing bank consent framework - Insurer policy administration in place - Post-issue servicing requirement	DELIVERY RECORD My ownership Journey design, consent architecture, data-handover model and delivery to production. - Split-consent architecture - Field-level handover with purpose - System-of-record boundary design - Servicing-view model - Underwriting-as-black-box position - Requirement through production	DESIGN JUDGEMENT Assessed Regulatory considerations summarised at the level needed for design decisions, not as a legal analysis. - Design-level obligation summary - Failure modes from practice - Not a legal opinion - Not a regulatory submission - Confirm with counsel before filing - Method transfers unchanged	OUT OF SCOPE Not claimed Excluded deliberately, particularly anything touching the insurer's own domain. - Any underwriting rule or decision - Any policy, premium or claims data - Either supervisor's actual position - The group's legal or data agreements - Any confidential design artefact - Measured conversion outcomes
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THE STRUCTURE

Six steps, one boundary — and what crosses it, in which direction, is the entire design question



What crosses	Direction	What is recorded with it	Owned by
Eligibility outcome	Stays with the bank — never sent	Segment logic is bank intellectual property	Bank
Customer attributes	Bank to insurer, field level	Purpose recorded per attribute	Bank, shared
Cover selection	Insurer catalogue rendered in bank channel	Product terms remain the insurer's	Insurer
Underwriting outcome	Insurer to bank, status only	No reasoning, no rules, no scores	Insurer
Policy record	Never moves	Bank holds a reference and a servicing view	Insurer
Servicing interactions	Bank to insurer as cases	Bank retains the interaction, insurer the resolution	Split

Two consents, two purposes, two lifecycles — because one consent cannot evidence two different things to two different supervisors

CONSENT ONE

Cross-entity data sharing

- Purpose: to allow the insurer to assess and, if accepted, issue cover
- Scope: named attributes only, with the purpose recorded against each
- Captured by the bank, evidenced in the bank's consent record
- Revocable — and revocation must be meaningful, which requires knowing what was already shared
- Survives the customer declining the insurance itself

CONSENT TWO

The insurance contract

- Purpose: to enter into a contract of insurance with the insurer
- Scope: disclosures, declarations, terms and the premium mandate
- Captured on the insurer's behalf, evidenced in the insurer's record
- Governed by insurance conduct rules, not by data-protection rules
- Cannot be given before consent one, because assessment precedes offer

Why the blanket consent is the design that fails

A single acceptance at the start of the journey is quicker to build, produces a cleaner interface, and tests better with customers. It also produces a record that cannot answer either supervisor's question.

The data-protection question is: on what basis was this attribute shared with a separate legal entity, and can the customer withdraw that basis? The conduct question is: did the customer understand and accept the terms of an insurance contract? A blanket consent evidences neither, because it conflates a data-sharing purpose with a contractual acceptance — and a customer who withdraws it has withdrawn something ambiguous.

Splitting it costs perhaps a day of interface design and one additional record. It is the cheapest insurance in the whole journey, and it is the difference between a launched product and a withdrawn one.

Four ways cross-entity journeys fail — three are designed out cheaply at the start and expensively at any point afterwards

01 The blanket consent

One acceptance covering data sharing and the contract. Evidences neither cleanly, and revocation is ambiguous.

THE FIX

Split by purpose, evidence separately, and make each independently revocable.

02 Convenient bulk handover

Sending the full customer profile because the interface is easier to build that way, then filtering on the receiving side.

THE FIX

Field-level handover with purpose recorded per attribute. Minimum necessary is a design constraint, not a policy aspiration.

03 Leaked underwriting logic

The bank surfaces why a case was declined or rated, usually to help the relationship manager have a better conversation.

THE FIX

Treat underwriting as a black box by design. Show status, never reasoning — the bank is not the entity that made the decision.

04 Ambiguous servicing ownership

The customer raises a policy question in the bank channel and nobody has decided who answers it, so both do, differently.

THE FIX

Bank owns the interaction and its record; insurer owns the resolution and the policy. Routing is explicit, not implied.

The third is the one that gets argued hardest internally, because explaining a decline genuinely helps the conversation — and it is the one that is not the bank's to explain.

The servicing view is where the boundary is tested daily — the customer does not know which entity they are talking to, and should not have to

Customer asks	Who can answer	How it is handled	Resolved by
What cover do I have?	Either — the bank holds a servicing view	Answered in channel from the reference view	Bank
When is my premium due?	Either — schedule is in the servicing view	Answered in channel, sourced from the insurer	Bank
Can I add a dependant?	Insurer — this changes the contract	Case raised in the bank channel, routed to the insurer	Insurer
Why was my claim assessed that way?	Insurer only	Handed over with context; the bank does not interpret	Insurer
Can I cancel?	Insurer — contractual, with conduct obligations	Case raised, routed, and tracked to closure in channel	Insurer
Update my address	Both, and they must not diverge	Captured once, propagated, with a single source of truth	Bank, shared

The rule applied

- The bank answers anything it can answer from a reference view it did not author.
- Anything that changes the contract or interprets a decision is routed, not answered.
- The customer sees one conversation, because the case is tracked in one place.

The row that causes the most trouble

- Address updates. Both entities need it, both have a record, and divergence is silent.
- Captured once with a defined source of truth and propagated — never captured twice.
- The most common cross-entity data-quality defect in practice.

Why the servicing view is a reference

- It is a read model sourced from the insurer, not a second policy record.
- It can be stale, so it carries its own freshness indicator rather than pretending to be authoritative.
- Built as a copy it becomes a second policy record that eventually disagrees.

Four rules for any product sold across a regulated entity boundary

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| 01 | Split consent by purpose, always | Data sharing across entities and entry into a contract are two different things with two different supervisors. One acceptance covering both evidences neither, and makes revocation ambiguous for everybody. |
| 02 | Hand over fields, not profiles | Minimum necessary is a design constraint, not a policy aspiration. Purpose recorded per attribute is what turns a data transfer into something either side can defend. |
| 03 | Treat the counterparty's decision as a black box | Show status, never reasoning. Explaining another entity's underwriting is helpful in the moment and indefensible in review — the bank did not make the decision and cannot stand behind the explanation. |
| 04 | Make the servicing view a reference, not a copy | A read model with a freshness indicator stays honest. A copy becomes a second system of record within a quarter, and the two records diverge silently from there. |

The customer should experience one journey. The data must never behave as though it is one entity. Holding both at once is the entire design problem, and it is a consent and ownership question long before it is a technical one.